

1 ENGROSSED HOUSE
2 BILL NO. 1170

By: Lepak of the House

3 and

4 Daniels of the Senate
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7 An Act relating to public finance; enacting the
8 Oklahoma Public Finance Protection Act; defining
9 terms; providing fiduciary's standard of care;
10 prohibiting consideration of nonpecuniary factors;
11 providing who has authority to vote on certain
12 shares; providing for delegation of authority;
13 providing that proxy votes be reported annually;
14 directing the State Treasurer to provide notice to
15 certain individuals in certain situations;
16 authorizing Treasurer to refer matter to Attorney
17 General; authorizing Attorney General to enforce act
18 and examine certain persons and records; providing
19 immunity for the State of Oklahoma and certain
20 individuals; providing for indemnification; providing
21 for severability; and providing for codification.
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BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 9101 of Title 62, unless there
is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Public
Finance Protection Act".

1 SECTION 2. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 9102 of Title 62, unless there
3 is created a duplication in numbering, reads as follows:

4 As used in the Oklahoma Public Finance Protection Act:

5 1. "Fiduciary" means a person who, with respect to a pension
6 benefit plan:

- 7 a. exercises any discretionary authority or discretionary
8 control respecting management of such plan or
9 exercises any authority or control respecting
10 management or disposition of its assets,
- 11 b. renders investment advice for a fee or other
12 compensation, direct or indirect, with respect to any
13 monies or other property of such plan, or has any
14 authority or responsibility to do so, or
- 15 c. has any discretionary authority or discretionary
16 responsibility in the administration of such plan,
17 including making recommendations or voting a plan's
18 shares or proxies;

19 2. "Nonpecuniary" means any factor or consideration that is
20 collateral to or not reasonably likely to affect or impact the
21 financial risk or return of an investment, including the promotion,
22 furtherance, or achievement of environmental, social, or political
23 goals. Evidence of intent may be considered only to the extent it
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1 demonstrates that a factor was not reasonably believed to have a
2 material effect on financial risk or return;

3 3. "Pecuniary factor" means a factor that a prudent person in a
4 like capacity would reasonably believe has a material effect or
5 impact on the financial risk or return on an investment, based on an
6 appropriate investment horizon consistent with the plan's investment
7 objectives and funding policy; and

8 4. "Pension benefit plan" or "plan" shall mean any plan, fund,
9 or program which was heretofore or is hereafter established,
10 maintained, or offered by the State of Oklahoma or any subdivision,
11 county, municipality, agency, or instrumentality thereof, or any
12 school, college, university, administration, authority, or other
13 enterprise operated by the State of Oklahoma, to the extent that by
14 its terms or as a result of surrounding circumstances:

- 15 a. provides retirement income or other retirement
16 benefits to employees or former employees, or
- 17 b. results in a deferral of income by such employees for
18 a period extending to the termination of covered
19 employment or beyond, and
- 20 c. the term does not include a defined contribution plan
21 under the Retirement Freedom Act, established pursuant
22 to Section 935.1 et seq. of Title 74 of the Oklahoma
23 Statutes, except that investment options selected as
24 default investment options for participating employees

1 shall be selected in adherence to the requirements of
2 this act.

3 SECTION 3. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 9103 of Title 62, unless there
5 is created a duplication in numbering, reads as follows:

6 A fiduciary shall discharge duties with respect to a plan solely
7 based on pecuniary factors and applicable state law requirements:

8 1. For the exclusive purpose of providing pecuniary benefits to
9 participants and their beneficiaries and defraying reasonable
10 expenses of administering the plan;

11 2. With the care, skill, prudence, and diligence under the
12 circumstances then prevailing that a prudent investor acting in a
13 like capacity and familiar with such matters would use in the
14 conduct of an enterprise of a like character and with like aims;

15 3. By diversifying the investments of the plan so as to
16 minimize the risk of large losses, unless under the circumstances it
17 is clearly prudent not to do so; and

18 4. In accordance with the documents and instruments governing
19 the plan and insofar as such documents and instruments are
20 consistent with the fiduciary responsibilities provided by law,
21 including the provisions of this act.

22 SECTION 4. NEW LAW A new section of law to be codified
23 in the Oklahoma Statutes as Section 9104 of Title 62, unless there
24 is created a duplication in numbering, reads as follows:

1 A fiduciary's evaluation of an investment, or evaluation or
2 exercise of any right appurtenant to an investment, must take into
3 account only pecuniary factors. Plan fiduciaries shall not promote
4 nonpecuniary benefits or any other nonpecuniary goals.

5 SECTION 5. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 9105 of Title 62, unless there
7 is created a duplication in numbering, reads as follows:

8 A. All proxies held by or on behalf of a pension benefit plan
9 or the beneficiaries thereof shall be voted solely in the pecuniary
10 interest of plan participants. Voting to further nonpecuniary or
11 other benefits or goals is prohibited.

12 B. Unless no economically practicable alternative is available,
13 a fiduciary may not adopt a practice of following the
14 recommendations of a proxy advisory firm or other service provider
15 unless such firm or service provider has a practice of, and in
16 writing commits to, following proxy voting guidelines that are
17 consistent with the plan's fiduciary obligation to act based only on
18 pecuniary factors.

19 C. Unless no economically practicable alternative is available,
20 plan assets shall not be entrusted to a fiduciary unless that
21 fiduciary has a practice of, and in writing commits to, following
22 guidelines, when engaging with portfolio companies and vote shares
23 or proxies that match the plan's obligation to act based only on
24 pecuniary factors.

1 D. With respect to the pension benefit plans, all such proxy
2 voting authority shall reside with the respective Board of Trustees,
3 except that the Board of Trustees may delegate such authority to a
4 person who has a practice of, and in writing commits to, following
5 guidelines that match the plan's obligation to act based only on
6 pecuniary factors.

7 E. All proxy votes shall be tabulated and reported annually to
8 the respective Board of Trustees. For each vote, the report shall
9 contain a vote caption, the plan's vote, the recommendation of
10 company management, and, if applicable, the proxy advisor's
11 recommendation. These reports shall be posted on a publicly
12 available webpage.

13 SECTION 6. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 9106 of Title 62, unless there
15 is created a duplication in numbering, reads as follows:

16 A. If the State Treasurer has reasonable cause to believe that
17 a person has engaged in, is engaging in, or is about to engage in a
18 violation of this act, notification shall be provided to the Speaker
19 of the Oklahoma House of Representatives, the President Pro Tempore
20 of the Oklahoma State Senate, the Pension Oversight Commission, and
21 the matter may be referred to the Attorney General for enforcement.

22 B. This act may be enforced by the Attorney General, who is
23 authorized to:

1 1. Require such person to file on such forms as he or she
2 prescribes a statement or report in writing, under oath, as to all
3 the facts and circumstances concerning the violation, and such other
4 data and information as he or she may deem necessary;

5 2. Examine under oath any person in connection with the
6 violation;

7 3. Examine any record, book, document, or paper as he or she
8 may deem necessary; and

9 4. Pursuant to an order of the Supreme Court of Oklahoma,
10 impound any record, book, document, paper, or sample or material
11 relating to such practice and retain the same in his or her
12 possession until the completion of all proceedings undertaken under
13 this act or in the courts.

14 SECTION 7. NEW LAW A new section of law to be codified
15 in the Oklahoma Statutes as Section 9107 of Title 62, unless there
16 is created a duplication in numbering, reads as follows:

17 A. The State of Oklahoma, pension benefit plans as defined in
18 this act, as well as officers, board members, and employees of the
19 state or the pension benefit plans are immune from civil liability
20 for any act or omission related to any provision under this act.

21 B. In addition to the immunity provided under subsection A of
22 this section, officers, board members, and employees of the state or
23 the pension benefit plans are entitled to indemnification from the
24 pension benefit plan for all losses, costs and expenses, including

1 reasonable attorney fees, associated with defending against any
2 claim or suit related to any provision of this act.

3 SECTION 8. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 9108 of Title 62, unless there
5 is created a duplication in numbering, reads as follows:

6 Should a court of competent jurisdiction hold any provision of
7 this act to be invalid, such provision shall be deemed severable and
8 not affect the validity of any other provision of this act.

9 Passed the House of Representatives the 25th day of March, 2026.

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12 Presiding Officer of the House
of Representatives

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14 Passed the Senate the ____ day of _____, 2026.

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16 _____
17 Presiding Officer of the Senate